

**Time:** 5 minutes**Outcome:** Identify AD and SRAS shocks and compare their short-run effects.**Difficulty:** ●●○ Intermediate

Demand and Supply Shocks



THE CORE IDEA

An aggregate-demand shock shifts AD and moves real GDP and the price level in the same direction. A short-run aggregate-supply shock shifts SRAS and moves real GDP and the price level in opposite directions. Favorable supply shocks raise output and lower the price level; adverse supply shocks lower output and raise the price level, producing stagflation when lower output accompanies inflation.



HOW TO RECOGNIZE IT

- Spending changes shift AD: consumption, investment, government purchases, or net exports.
- Production-cost or expected-price changes shift SRAS.
- Demand shock: output and price level move together in the short run.
- Supply shock: output and price level move in opposite directions.

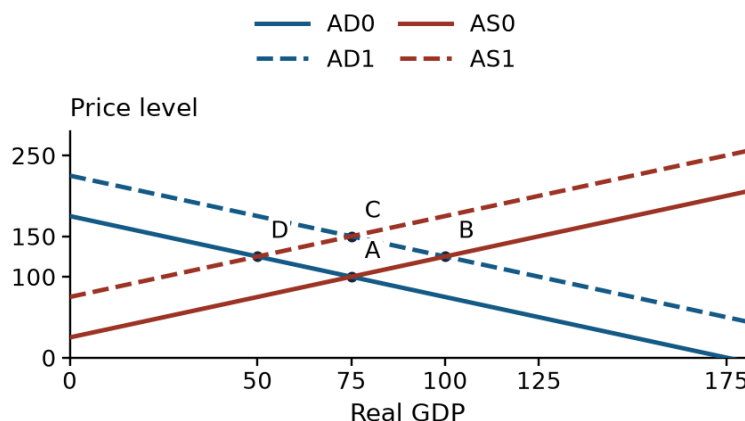


WATCH OUT

Do not classify a shock from the outcome alone when several curves move. Identify the initiating event, shift each curve separately, then combine the effects.



WORKED EXAMPLE: ONE SHIFT AT A TIME



From A, an AD increase alone moves equilibrium to B: output rises from 75 to 100 and the price level from 100 to 125. An adverse SRAS shift alone moves A to D: output falls from 75 to 50 while the price level rises to 125. The second pattern is stagflation.



CHECK YOURSELF

Oil prices fall sharply. Which curve shifts, and what happens to output and the price level?

**READY?**

Return to the game and master this concept.